

Musharraf v. State of U.P. And 2 Others

Allahabad High Court · Division Bench · 18 January 2021 · Writ - C No. 27193 of 2020 · **Writ petition disposed of without deciding merits; petitioner to file a representation within three weeks for a reasoned speaking final assessment after hearing, preferably within four weeks of receipt; no coercive action on the citation dated 25.02.2020 for six weeks or until that decision, whichever is earlier; no benefit if the representation is not filed**

HEADNOTE

A licensee cannot treat a Section 126 provisional assessment as the final assessment after the consumer has filed an objection, without considering that objection, without an opportunity of hearing, and without supplying a copy of a final order. Clause 8.1 of the U.P. Electricity Supply Code, 2005 requires inspection, provisional assessment, hearing and final assessment in a theft case. Applying *Shishir Jain*, the consumer cannot be compelled to deposit the provisional amount unless a final assessment is made after hearing and a copy of that order is supplied. Treating the provisional figure as final without considering the objection or affording a hearing is *dehors* Section 126 and Clause 8.1 and violates natural justice. Without entering the merits, the Court directed a representation for a speaking final assessment after hearing and stayed coercive action on the 25 February 2020 recovery citation; it did not quash the citation.

FACTUAL SUMMARY

Musharraf filed Writ-C No. 27193 of 2020 in the Allahabad High Court seeking certiorari to quash a demand notice dated 25 February 2020 issued by respondent no. 3 and the recovery founded on it. He said he held a valid electricity connection and paid bills regularly. On 4 September 2019 a checking squad inspected his premises and reported commercial use of electricity. An FIR was lodged the same day under Section 135 of the Electricity Act, 2003 (the order recites the FIR date as 4 September 2012). A provisional assessment notice dated 31 October 2019 under Section 126, proposing Rs. 75,884, was sent by registered post. He filed an objection on 5 December 2019. He alleged that the objection was never considered, no final assessment was served, and a recovery citation nonetheless issued for Rs. 77,906. Counsel for the Power Corporation (respondent nos. 2 and 3) could not show that the same provisional assessment was to be treated as the final assessment.

REUSABLE CONSTRUCTIONS

1. Filing an objection to a provisional assessment does not convert that notice into a final assessment; the licensee must consider the objection and afford a hearing before any final assessment. ¶ 5
2. A consumer cannot be compelled to deposit on a provisional assessment unless a final assessment is made after an opportunity of hearing and a copy of that order is supplied. ¶ 8
3. Treating the amount in a provisional assessment as the final assessment without considering the objection or affording a hearing is *dehors* Section 126 of the Electricity Act, 2003 and Clause 8.1 of the Supply Code, 2005, and violates natural justice. ¶ 8
4. Clause 8.1 of the Supply Code, 2005 is the licensee's procedure for inspection, provisional assessment, hearing and final assessment in a case of theft of electricity. ¶ 8

HOLDING-UNITS

INTERPLAY · UP-2005::8.1

theft assessment — provisional figure cannot be treated as final after an objection without hearing

QUESTION

May a licensee recover a theft demand by treating a Section 126 provisional assessment as final after the consumer has filed an objection, without considering that objection, without a hearing, and without supplying a copy of a final order?

HOLDING

No. The Court was not convinced that, despite the objection, the provisional assessment could be treated as final without considering it or giving an opportunity of hearing. Clause 8.1, read with Section 126, requires inspection, provisional assessment, hearing and a final assessment in theft cases. Treating the provisional amount as the final assessment without considering the objection or affording a hearing, and compelling deposit without supplying a copy of that order, is *dehors* Section 126 and Clause 8.1 and violates natural justice. Applying *Shishir Jain* paragraph 16, the petitioner could not be compelled to deposit on the provisional figure. Without deciding merits, he was directed to file a representation within three weeks for a reasoned speaking final assessment after hearing, preferably within four weeks of receipt. Coercive action on the 25.02.2020 citation is stayed for six weeks or until that decision, whichever is earlier; if he does not file the representation, he gets no benefit of the order. ¶ 5, 8-11

QUALIFIER

The citation was not quashed. Petitioner invoked Section 126(3) and Clause 8.1; the Court's holding is framed as Section 126 and Clause 8.1.

FLAG Unnumbered 18.1.2021 order; paras are sequential blocks after the cause-title (1 heard; 2 reliefs; 3 checking 04.09.2019 commercial use, FIR 'on the same day i.e. 04.09.2012' under s.135, provisional notice 31.10.2019 by registered post for Rs. 75,884, objection 05.12.2019, no final assessment served, citation for Rs. 77,906; 4 no hearing, s.126(3) and Clause 8.1, *Shishir Jain*; 5 licensee could not show the provisional assessment is treated as final; Court not convinced that despite the objection it becomes final without considering it or hearing; 6-7 *Shishir Jain* para 16 quoted; 8 procedure *dehors* s.126 and Clause 8.1, Clause 8.1 described as the theft path, treating provisional as final without considering the objection or hearing violates natural justice; 9 representation directed without entering merits; 10 stay of the 25.02.2020 citation; 11 no benefit if representation not filed). Inspection reported commercial use; FIR under s.135; assessment notice under s.126; Court applied both s.126 and Clause 8.1 without electing between unauthorised use and theft. Internal date inconsistency on the FIR (04.09.2012 vs inspection 04.09.2019) recorded as the judgment states it. Catalog hits on Clauses 4.3 and 4.35–4.39 are false positives.

HOLDING-UNIT · EA2003::126

no compulsion to deposit a provisional Section 126 assessment until a final assessment after hearing on the objection

QUESTION

Does a timely objection to a provisional Section 126 assessment, left unconsidered, convert that notice into a recoverable final assessment?

HOLDING

No. Licensee's counsel could not show that the same provisional assessment is treated as final. Following *Shishir Jain* paragraph 16, without a final assessment after considering the objection and giving an opportunity of hearing, and without supplying a copy of that order, the petitioner cannot be compelled to deposit the provisional amount. The procedure adopted was held *dehors* Section 126. Recovery was not allowed to proceed as a concluded final assessment; it was stayed pending a speaking decision on a representation after hearing. ¶ 5, 8-10

QUALIFIER

Petitioner invoked Section 126(3); the Court's own holding is framed as Section 126. The citation was not quashed.

PRINCIPLE TAGS

opportunity-before-final-assessment A provisional notice dated 31.10.2019 was served by registered post. An objection was filed on 05.12.2019. No final assessment was served. The Court would not treat the provisional figure as final, or permit recovery on it, without considering the objection and an opportunity of hearing. Lead authorities: *Shishir Jain v. Paschimanchal Vidyut Vitran Nigam Ltd.* ¶ 5, 8

provisional-assessment-objections-before-final-demand The 05.12.2019 objection to the 31.10.2019 provisional assessment was never considered; recovery on the provisional figure was held unsustainable until a final assessment after hearing. Lead authorities: *Shishir Jain v. Paschimanchal Vidyut Vitran Nigam Ltd.* ¶ 5, 8

clause-8.1b-personal-hearing-mandatory-before-final-assessment Clause 8.1 was applied as the theft path requiring inspection, provisional assessment, hearing and final assessment; treating the 31.10.2019 provisional figure as final without considering the objection or hearing was held to violate that procedure and natural justice. Lead authorities: *Shishir Jain v. Paschimanchal Vidyut Vitran Nigam Ltd.* ¶ 8

final-assessment-order-mandatory-under-section-126-3

Applying Shishir Jain paragraph 16, the Court held that despite the objection the provisional Section 126 assessment could not be treated as final, and the petitioner could not be compelled to deposit until a final assessment after hearing. Lead authorities: *Shishir Jain v. Paschimanchal Vidyut Vitran Nigam Ltd.*. ¶ 5, 8

no-recovery-without-final-assessment-clause-8.1(b)

The 25.02.2020 recovery citation, issued without a served final assessment after considering the objection and hearing, was not allowed to operate as concluded recovery; coercive action was stayed pending a speaking order after hearing. Lead authorities: *Shishir Jain v. Paschimanchal Vidyut Vitran Nigam Ltd.*. ¶ 8-10

126-vs-135-distinct-fields-but-126-still-applies-to-theft

An FIR under Section 135 did not displace the Section 126 / Clause 8.1 assessment procedure; the Court still required consideration of the objection, a hearing and a final assessment before recovery of the demand. ¶ 3, 8

assessment-demand-notices-relegated-to-representation-without-merits

Without entering the merits, the Court did not quash the 25.02.2020 citation. It directed a representation for a reasoned speaking order on final assessment after hearing. ¶ 9-11

NOT DECIDED — NEGATIVE AUTHORITY

NOT DECIDED — MERITS OF THE COMMERCIAL-USE / SECTION 135 ALLEGATION AND THE QUANTUM OF RS. 77,906

Expressly left undecided; a representation was directed for a reasoned speaking order after hearing. ¶ 9

NOT DECIDED — QUASHING OF THE DEMAND NOTICE / RECOVERY CITATION DATED 25.02.2020

Sought as relief (i). The citation was not quashed; coercive action was stayed only for six weeks or until the representation is decided, whichever is earlier. ¶ 2, 9-10

TABLE OF AUTHORITIES

AUTHORITY	PROPOSITION	HOW TREATED	CITED BY	TREATMENT
<i>Shishir Jain v. Paschimanchal Vidyut Vitran Nigam Ltd. and another</i> 2017 (3) AWC 3084 Allahabad High Court	If there is no final assessment, the consumer cannot be compelled to deposit the provisional assessment; without a final assessment after considering the objection and giving an opportunity of hearing, demand notices are not sustainable.		Court	Followed

SCJ-3227 · Musharraf v. State of U.P. And 2 Others · · Supply Code Jurisprudence

A jurisprudence extract prepared from the text of the judgment; not a substitute for the judgment, and to be verified against the original before use.